FIELD PROJECT REPORT

ON

A COMPARARATIVE STUDY ON HDFC BANK AND SBI BANK

Submitted for the partial fulfillment towards the award of the degree in Master of Business Administration of Dr. A.P.J Abdul Kalam Technical University, Lucknow

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1. EXECUTIVE SUMMARY

The concept of this project is to analyze the financial status of two Indian banks and to check the performance whether they are performing well or lacking in performance. The performance can be evaluated by doing Financial Analysis of Financial Statements of Bank. It primarily aims at learning the various factors that can help my evaluation process. We have tried to find out the reasons or ground where it is lacking. We have also tried to find out the areas of improvement.

Non performing assets are one of the major concerns for banks in India. NPAs reveal the performance of banks. It affects the liquidity and profitability of banks. Growing non performing assets is a recurrent problem in the Indian banking sector. The NPAs growth has a direct impact on profitability of banks. It involves the necessity of provisions, which reduces the overall profits and shareholders‟ value. The problem of NPAs is not only affecting the banks but also the whole economy. In this article, a comparative study has been made between NPA of public sector banks and private sector banks in India for the past 5 years. The factors contributing to NPAs, reasons for high NPAs and their impact on Indian banking operations, the trend and magnitude of NPAs in Indian banks. The recovery of NPAs in both public and private sector banks has been analysed.

2. INTRODUCTION OF TOPIC

2.1 INTRODUCTION

Non-Performing Assets (NPAs) are a critical indicator of the financial health of banks and play a pivotal role in determining their profitability and operational efficiency. In the Indian banking sector, NPAs have been a major concern for decades, as they directly impact a bank’s ability to lend, its capital adequacy, and overall stability. An NPA arises when a borrower fails to repay the loan or interest within a specified period, often leading to the accumulation of bad debt.

The **State Bank of India (SBI)** and **HDFC Bank** are two of the largest and most prominent banks in India, but they have very different business models, customer bases, and approaches to managing credit risk. While SBI, as a public sector bank, plays a significant role in government-sponsored lending programs and has a vast rural and semi-urban presence, HDFC Bank, a private sector bank, is known for its strong retail banking services and a more aggressive focus on profitability and asset quality.

The issue of NPAs has been a persistent challenge for both public and private sector banks. However, the scale, causes, and impact of NPAs often differ based on the bank's size, market segment, and risk management strategies. This report aims to compare the NPA performance of SBI and HDFC Bank over recent years, analyzing the trends, causes, and effects of NPAs on both institutions. Additionally, the report will explore the strategies adopted by these banks to control and reduce NPAs, thereby ensuring financial stability and continued growth.

Definition of a Bank : A bank is a financial institution and a financial intermediary that accepts deposits and channels those deposits into lending activities, either directly by loans or indirectly through capital markets.

Types of Banks:

Banks are classified as Public or Private depending on their ownership. PUBLIC SECTOR BANKS

Public Sector Banks (PSBs) are a major form of bank in India, in which the Indian government or state governments own a majority stake (i.e. more than 50%). The shares of these banks are traded on stock exchanges. Public sector banks in India include State Bank of India, Bank of Baroda, Bank of Maharastra ,Bank Of India And Others.

Private Sector Banks

Private sector banks are those in which majority of the stake is owned by the bank's shareholders rather than the government .Private sector banks in India include RBL Bank, HDFC Bank, ICICI Bank, Yes Bank, And Others.{Private Sector Banks}

Introduction to HDFC Bank

The HDFC Bank was incorporated on August 1994 by the name of 'HDFC Bank Limited', with its registered office in Mumbai, India. HDFC Bank commenced operations as a Scheduled Commercial Bank in January 1995. The Housing Development Finance Corporation (HDFC) was amongst the first to receive an 'in principle' approval from the Reserve Bank of India (RBI) to set up a bank in the private sector, as part of the RBI's liberalization of the Indian Banking Industry in 1994.

HDFC Bank is headquartered in Mumbai. The Bank at present has an enviable network of over 1416 branches spread over 550 cities across India. All branches are linked on an online real–time basis. Customers in over 500 locations are also serviced through Telephone Banking. The Bank also has a network of about over 3382 networked ATMs across these cities. The promoter of the company HDFC was incepted in 1977 is India's premier housing finance company and enjoys an impeccable track record in India as well as in international markets. HDFC has developed significant expertise in retail mortgage loans to different market segments and also has a large corporate client base for its housing related credit facilities.

Introduction of SBI Bank

The roots of the State Bank of India lie in the 19th century when the Bank of Calcutta (later renamed as Bank of Bengal) was established on June 2, 1806. The Bank of Bengal was one of three Presidency banks, the other two being Bank of Bombay and Bank of Madras.

These three Presidency banks were incorporated as joint-stock companies. They have the exclusive right to issue paper currency until 1861 when the right was taken over by the Government of India. The three Presidency banks amalgamated on January 27,1921 and were named Imperial Bank of India. The Imperial Bank of India remained a joint-stock company without Government participation. All in all, the SBI was formed after the merger of approximately twenty banks.

According to the State Bank of India Act of 1955, the Reserve Bank of India, acquired a controlling interest in the Imperial Bank of India and the Imperial Bank of India became the State Bank of India on July 1, 1955.

But the Indian Government acquired the Reserve Bank of India’s stake in SBI in 2008 to remove any conflict of interest because the RBI is the country’s banking regulatory authority. In 1959, the government passed the State Bank of India (Subsidiary Banks) Act thus making the eight banks that had belonged to princely states subsidiaries of SBI. But now all the subsidiaries have been merged with SBI

COMPANY PROFILE

	Company Profile of HDFC Bank
Traded as	• NSE: HDFCBANK • BSE: 500180 • NYSE: HDB (ADS) • BSE SENSEX Constituent • NSE NIFTY 50 Constituent
ISIN	INE040A01034
Industry	Financial services
Founded	August 1994 (30 years ago)
Headquarters	Mumbai, Maharashtra, India
Area served	India
Key people	• Atanu Chakraborty (Chairman)[1] • Sashidhar Jagdishan (CEO)
Products	• Credit cards • Consumer banking • Commercial banking • Finance and insurance • Investment banking • Mortgage loans • Private banking • Private equity • Wealth management[2]
Revenue	₹407,994 crore (US$49 billion)
Operating income	₹76,568 crore (US$9.2 billion)
Net income	₹64,062 crore (US$7.7 billion)
Total assets	₹36.17 lakh crore (US$430 billion)
Total equity	₹4.53 lakh crore (US$54 billion)
Owner	Housing Development Finance Corporation (25.7%)
Number of employees	213,527 (31 March 2024)
Subsidiaries	HDFC Securities HDB Financial Services
Website	www.hdfcbank.com

Company profile Of SBI Bank

State Bank Bhavan,	
Formerly	Imperial Bank of India
Type	CPSU
Traded as	• NSE: SBIN • BSE: 500112 • LSE: SBID • BSE SENSEX Constituent • NSE NIFTY 50 Constituent
ISIN	INE062A01020
Industry	Banking, financial services
Predecessor	Imperial Bank of India (1921 – 1955) Bank of Calcutta (1806 – 1921) Bank of Bombay (1840 – 1921) Bank of Madras (1843 – 1921)
Founded	1 July 1955; 67 years ago State Bank of India 27 January 1921 Imperial Bank of India 2 June 1806 Bank of Calcutta 15 April 1840 Bank of Bombay 1 July 1843 Bank of Madras
Headquarters	State Bank Bhawan, M.C. Road Nariman Point, Mumbai, Maharashtra, India
Number of locations	22,219 Branches, 62,617 ATMs in India, International: 229 Branches in 31 countries

Area served	Worldwide
Key people	Dinesh Kumar Khara (Chairman)[1]
Products	• Retail banking • Corporate banking • Investment banking • Mortgage loans • Private banking • Wealth management • Credit cards • Finance and Insurance
Revenue	₹4.39 lakh crore (US$53 billion)
Operating income	₹86,697.18 crore (US$10 billion)
Net income	₹69,543.62 crore (US$8.3 billion)
Total assets	₹67.33 lakh crore (US$810 billion)
Total equity	₹4.29 lakh crore (US$51 billion)
Number of employees	2,32,296 (31 March 2024)
Parent	Ministry of Finance (Government of India)
Subsidiaries	• SBI Life Insurance Ltd • SBI Cards and Payment Services Ltd • SBI General Insurance (70%) • Jio Payments Bank (30%) • Yes Bank (30%) • Andhra Pradesh Grameena Vikas Bank (35%) • Kaveri Grameena Bank (35%)
Capital ratio	Tier 1 11.03% (2022)[3]
Rating	• S&P BBB- / A-3/ Stable[4] • Moody's Baa3/ P-3/ Stable[4] • Fitch BBB- / F-3/ Stable[4]
Website	www.sbi.co.in

NPAs play a significant role. Non-performing assets have a significant effect on bank profitability because they are closely linked to efficiency.
The profitability and assetliability management of Indian banks. NPAs are the product of advances not being recovered or not being recovered within a certain time frame for a given type of lending. They suggest that banks analyze NPAs on a regular basis, by intent, borrower, country, and so on.
Before sanctioning, there should be methods and proper inspections of the creditors. (Ojha & Jha, 2018) Dr. Ganesan and R. Santhana krishnan has conducted a report on NPAs at the State Bank of India from 2002-03 to 2011-12 with the aim of deploying capital, analyzing gross NPA"s ,investigating the effects of NPAs, and recommending steps to monitor NPAs.
They calculated the averages and standard deviations to test the hypothesis, and the results were based on the desired outcomes. They put the hypothesis to the test by estimating averages and standard deviations, and then comparing the results to the desired outcomes.

They discovered that the banking industry has changed dramatically since the first phase of economic liberalization, and that credit management has become increasingly important as a result. NPAs has increased with economic growth and aggressive lending practices.

2.2 IMPORTANCE

PROBLEM DEFINITION

- To know whether the private sector bank (HDFC Bank)) work better than the public sector bank (SBI Bank)
  .
- To analyze the NPA trends in HDFC Bank and SBI, comparing them on key parameters such as NPA ratios, growth rate of NPAs, and recovery strategies.
- To propose strategies for enhancing profitability for both banks based on findings from the study.
- To study the present financial condition of (HDFC Bank and SBI Bank).

2.3 OBJECTIVES

- To compare and evaluate the financial performance of HDFC and SBI Bank.

- To understand and compare the trends of NPA and Financial Report of both the banks over the last five years (2019 to 2024).

- To ascertain yearly fluctuations in terms of profitability, liquidity and efficiency of HDFC and SBI Bank.

2.4 SCOPE OF STUDY

- In the present study, an attempt has been made to measure, evaluate and compare the financial performance of SBI and HDFC.
- The study is based on secondary data that has been collected through annual reports of the respected banks, websites, journals, documents and other published information.
- The study covers the period of 5 years i.e. is from year 2019-20, 2020-21, 2021- 2022, 2022-23 and and 2023-24.
- Ratio analysis was applied to analyze and compare the trends in financial performance. Mean and t test have also been deployed to analyze the trends in banking profitability.

2.4 LIMITATION

- The study is confined only to the selected and restricted indicators and the study is confined only for a period of three years.

- As the analysis is entirely based on secondary data ,it has its drawbacks ,firms can cheat and window dress their financial statements.

- Ratio analysis metrics do not necessarily represent future performance of the company

Chapter-3
Literature Review

Here are several factors that impact the profitability of banks (Sufian & Habibullah, 2010); (Dietrich & Wanzenried, 2011). These factors can be broadly classified as either internal determinants that originate within the firm such as bank size, capital, risk management, expenses management, and diversification (Molyneux & Thornton, 1992) (BODLA & VERMA, 2006).

External determinants that are outside the firm like market concentration, industry size and ownership, inflation, interest rates, money supply and Gross Domestic Product (GDP) (Athanasoglou, Brissimis, & Delis, 2008); (Chirwa, 2003).

The effect of main internal factors on profitability has been studied in a number of studies.

(Smirlock & Brown, 1986) investigated the profitability of demand deposits as a feature of total deposits. Demand deposits seemed to have a substantial positive relationship with earnings, according to their results. Loan loss provision and net charge offs had a major negative impact on large bank profitability, according to Miller and Noulas (1997).

These findings revealed that asset and liability composition had an effect on net charge-offs. As a result, commercial banks' asset liability portfolio decisions are likely to have an effect on their profitability through net charge-offs. As a result, banks with higher wages and benefits will need higher net interest margins to stay profitable. (S M Miller, A G Noulas, 1997).

Avani Ojha and Hemchandra Jha- has conducted studies on the effect of NPAs on the operations of the SBI and PNB using various research methods and analyzed the hypothesis based on the entire study that NPAs play a significant role. Non-performing assets have a significant effect on bank profitability because they are closely linked to efficiency. The profitability and assetliability management of Indian banks. NPAs are the product of advances not being recovered or not being recovered within a certain time frame for a given type of lending. They suggest that banks analyze NPAs on a regular basis, by intent, borrower, country, and so on.

Before sanctioning, there should be methods and proper inspections of the creditors. (Ojha & Jha, 2018) Dr. Ganesan and R. Santhana krishnan has conducted a report on NPAs at the State Bank of India from 2002-03 to 2011-12 with the aim of deploying capital, analyzing gross NPA"s ,investigating the effects of NPAs, and recommending steps to monitor NPAs. They calculated the averages and standard deviations to test the hypothesis, and the results were based on the desired outcomes. They put the hypothesis to the test by estimating averages and standard deviations, and then comparing the results to the desired outcomes. They discovered that the banking industry has changed dramatically since the first phase of economic liberalization, and that credit management has become increasingly important as a result. NPAs has increased with economic growth and aggressive lending practices

Chapter - 4
RESEARCH METHODOLOGY

Research Methodology

The research methodology for this study can be a comparative research design that compares the financial reports of HDFC and SBI banks. This design will help in analysing the similarities and differences in the financial performance of these two banks.

Data Collection:

The primary source of data for this study will be the annual reports of HDFC and SBI banks. The secondary sources of data will be financial databases, journals, articles, and relevant books. The data collected will be analysed and compared to identify the financial performance of both banks.

Sampling Technique:

The study will use a purposive sampling technique where the researchers will select the annual reports of HDFC and SBI banks for the last five years. The selection criteria will be based on the availability of reports and the relevance of the data.

Data Analysis:

The data collected will be analysed using financial ratios such as liquidity ratios, profitability ratios, and efficiency ratios. The data will be compared, and the results will be presented in tables and graphs. The statistical software such as Excel and SPSS can be used for data analysis.

Ethical Considerations:

The researchers will ensure the confidentiality of the data collected from the banks. The study will adhere to the ethical guidelines set by the research institution.

Research Design

DURATION OF STUDY- The period of this study will cover last 5 years of the financial data- 2019-20, 2020-21, 2021-22 ,2022-23, 2023-24

DATA COLLECTION PROCEDURE- Secondary Data will be used in this study to compare the financial statements of both the banks over the last three years.

DATA COLLECTION METHODS- Data has been collected through Ratio Analysis.

STATISTICAL TOOLS AND TESTS USED- The statistical tool used in the study is Mean and inferential statistic T-test has been conducted to know the significant relation between the NPA Ratios of both the banks

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SOFTWARES USED – POWER BI AND EXCEL

Chapter-5

DATA ANALYSIS AND INTERPRETATION

Ratio analysis of SBI and HDFC bank from its annual reports for the year 2019-20, 2020-21, 2021-22, 2022-23, and 2023-24 is presented below-:

NON-PERFORMING ASSETS RATIOS-

NON-PERFORMING ASSETS (NPA) are assets for which interest is overdue for more than 90 days. It includes-

Gross non-performing asset ratio

Gross non-performing assets-Gross non-performing assets refer to the total amount of the debts that an organization has failed to collect or the people owing the organization has failed to honor their contractual obligations of paying both the principal and interest amount.

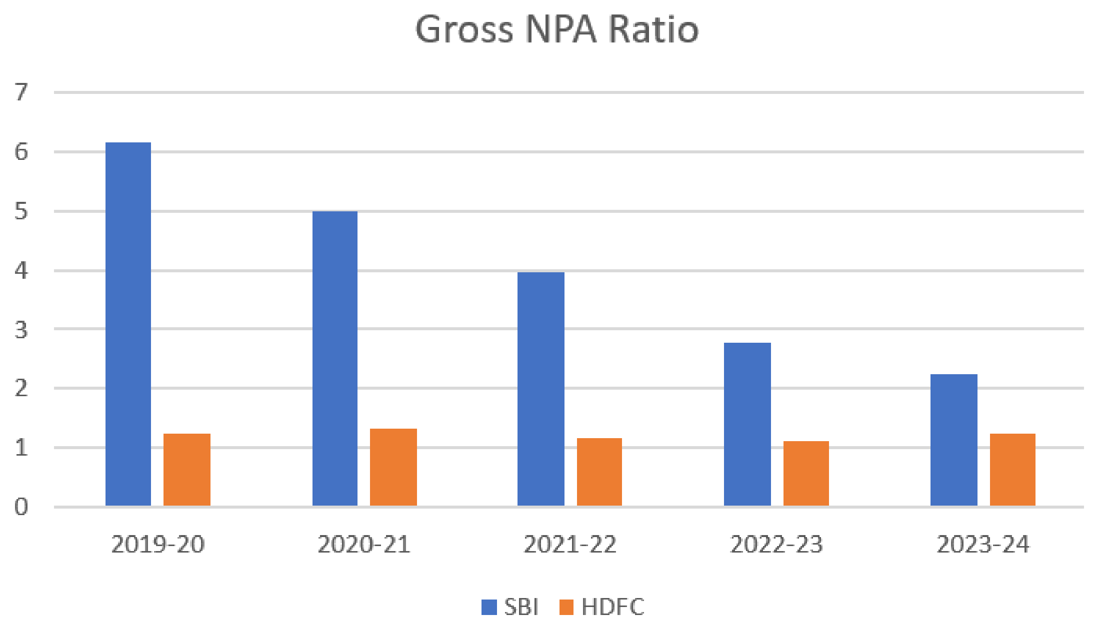
Gross non-performing loans are the sum of all the loans that have been defaulted by the individuals who have acquired loans from the financial institution. This means that all loans defaulted are added together to form gross non-performing assets.

Gross NPA Ratio= (A1 + A2 + A3+An)/Gross Advances

(A1 stands for loans given to person number one, A2 for loans given to person number two etc.)

YEAR	SBI	HDFC
2019-20	6.15	1.26
2020-21	4.98	1.32
2021-22	3.97	1.17
2022-23	2.78	1.12
2023-24	2.24	1.24
AVERAGE	4.02	1.22

(Table 1 shows the % of Gross NPA of SBI and HDFC for last five years)



(Graph 1 shows the % of Gross NPAs of SBI and HDFC for last three years)

- **Interpretation for SBI:** The performance of SBI has been on a **downward trend** over the last 5 years. This could be due to a variety of factors such as changes in the banking environment, challenges in the economy, or even internal restructuring. The continuous decline may also reflect increasing competition, lower profitability, or challenges in asset quality. Despite this, SBI remains strong compared to HDFC, as shown by the much higher values across the years.
- **Interpretation for HDFC:** The performance of HDFC, though relatively stable compared to SBI, shows a **slight decline overall**. The increase in 2020-21 suggests a brief recovery or better operational efficiency during that period, but the decrease in subsequent years points to a more conservative or slower growth trajectory. The recovery in 2023-24 is marginal, but the overall values remain much lower than SBI, indicating a more modest scale of growth or profitability.

Average Comparison:

- **SBI's average performance** over the 5 years is **4.02%**, much higher than HDFC's average of **1.22%**. This shows that SBI has generally outperformed HDFC in terms of the key financial metric being analyzed.

- **SBI's higher average** indicates it has been able to maintain a stronger position over the 5-year period, despite the downward trend.

- **HDFC's average** of 1.22% shows it has consistently performed at a lower level but remains fairly stable over the years, without drastic fluctuations like SBI

NET NON PERFORMING ASSESTS RATIO

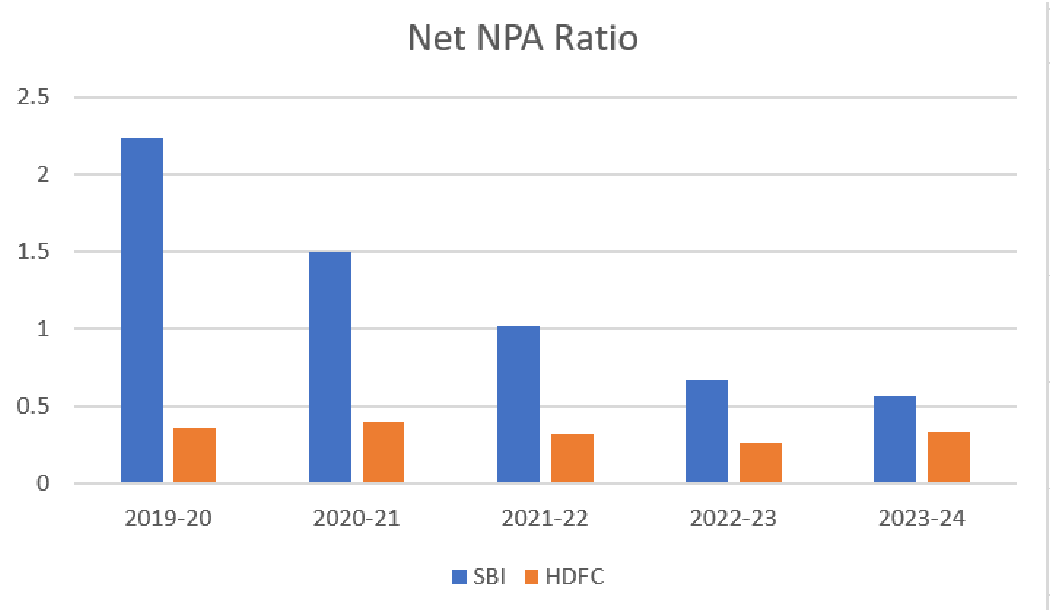
Net non-performing assets are the amount that is realized after provision amount has been deducted from the gross non- performing assets. It is the actual loss that the organization incurs after loan defaults.

Formula-

Net NPA Ratio = (Total Gross NPA) – (Provision for Unpaid Debts)/Gross Advances

YEAR	SBI	HDFC
2019-20	2.23	0.36
2020-21	1.50	0.40
2021-22	1.02	0.32
2022-23	0.67	0.27
2023-24	0.57	0.33
Average	1.19	0.33

(Table 2 shows the % of Net NPA of SBI and HDFC for last five years)



(Graph 2 shows the % of Net NPA of SBI and HDFC for last Five years)

- **Interpretation for SBI:** SBI shows a **consistent decline** over the past five years. The bank's performance has decreased steadily, from 2.23% in 2019-20 to 0.57% in 2023-24. This indicates a **downward trend** in whatever metric is being measured, suggesting that SBI is facing ongoing challenges. These challenges could include factors like increasing non-performing assets (NPAs), regulatory pressures, or slower economic growth. Despite this decline, SBI's performance remains significantly higher than HDFC, although the gap has narrowed.

- **Interpretation for HDFC:** HDFC’s performance is consistently **lower** than SBI's throughout the entire period, with a **modest upward blip** in 2020-21 and a small recovery in 2023-24. The performance remains at **low levels**, with a general downward trend, though it has not dropped as drastically as SBI's. This might reflect a more conservative approach to growth, a focus on stability, or a different operational model. Despite this, HDFC's performance has not been improving significantly either, showing challenges that might include competition, internal inefficiencies, or sector-specific pressures.

Average Comparison

- **SBI's average performance** over the 5 years is **1.19%**, significantly higher than HDFC's average of **0.33%**.
- **HDFC's average of 0.33%** indicates that its performance is **consistently low** but stable, with only small fluctuations.
- **SBI's average of 1.19%**, though higher, indicates that it has been on a **declining trajectory**, as the starting point was much stronger than HDFC’s, but it has decreased sharply over the years.

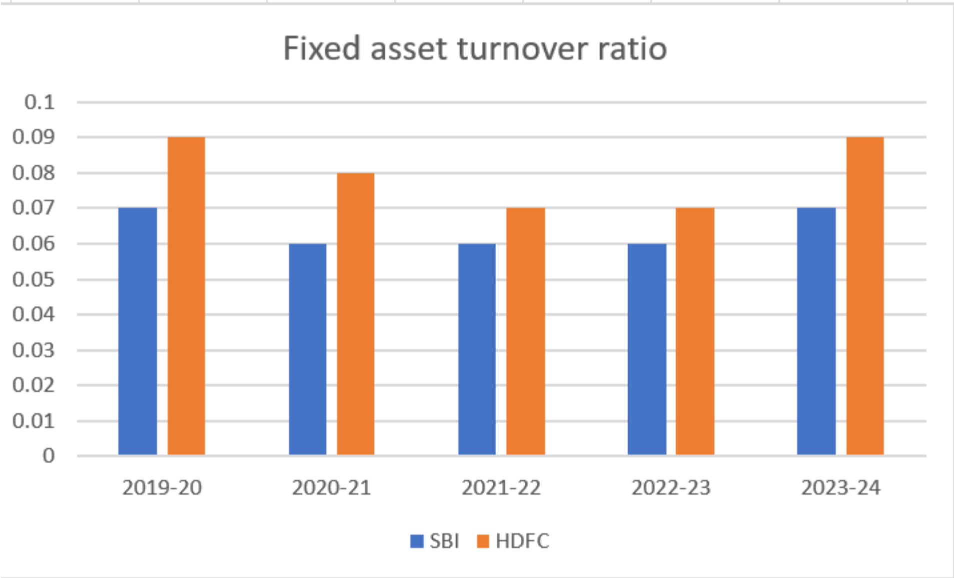
Fixed Asset Turnover Ratio

Fixed-asset turnover ratio is a type of efficiency ratio that measures sales to the value of fixed assets. It indicate show well the business is using its fixed assets to generate sale. Generally a high fixed assets turnover ratio indicates better utilization of fixed assets and a low ratio means inefficient or under-utilization of fixed assets.

Fixed Asset Turnover Ratio = Net Sales/ Average Fixed Assets

YEAR	SBI	HDFC
2019-20	0.07	0.09
2020-21	0.06	0.08
2021-22	0.06	0.07
2022-23	0.06	0.07
2023-24	0.07	0.09
Average	0.064	0.08

(Table 3 showing Fixed Asset Turnover Ratio of SBI and HDFC for the last five years)



(Table 3 showing Fixed Asset Turnover Ratio of SBI and HDFC for the last five years)

Interpretation of SBI: The interest rate for SBI has generally remained stable over the years, fluctuating slightly from 0.07% in 2019-20 to 0.06% in 2021-22 and 2022-23. However, it increased again to 0.07% in 2023-24.
There is a slight decrease over the years (2019-2023), but it seems to stabilize in the most recent year.

- **Average Rate**: 0.064%
  - On average, SBI's interest rate over these 5 years was 0.064%. This is a relatively low rate, showing that the bank has kept its interest rates fairly consistent, with only minimal changes.

Interpretation of HDFC: HDFC's interest rate showed a slightly higher rate than SBI's across all years, with consistent values of 0.09% in 2019-20 and 2023-24, and a slightly decreasing trend in 2020-21 and 2021-22, dropping to 0.07% in 2022-23.
Unlike SBI, HDFC had a noticeable reduction in interest rates around 2021-22, but then they returned to 0.09% in 2023-24.

- **Average Rate: 0.08%**
  - The average interest rate for HDFC was 0.08%, which is higher than SBI's average of 0.064%. This indicates that HDFC typically offers slightly higher interest rates compared to SBI over this period.

Leverage Financial Ratios

Leverage financial ratios are used to measure a company's level of debt relative to its equity, assets, or earnings. These ratios help investors and analysts understand how much financial risk a company is taking on by using debt to finance its operations. High leverage may indicate a higher risk of financial instability, while low leverage can suggest that a company is underutilizing debt as a tool for growth.

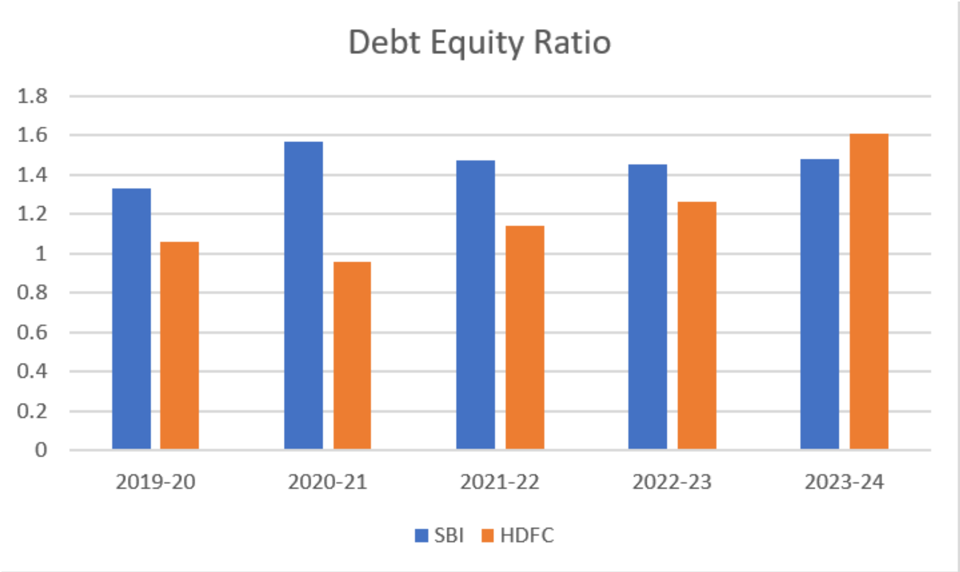
Debt to Equity Ratio

The debt to equity ratio is a type of leverage ratio that calculates the weight of total debt and financial liabilities against shareholders' equity. The ideal debt to equity ratio is 2:1 (because the cost of debt is lower than the cost of equity.)

Debt to equity ratio=Total liabilities/Shareholder's equity

YEAR	SBI	HDFC
2019-20	1.33	1.06
2020-21	1.57	0.961
2021-22	1.47	1.14
2022-23	1.45	1.26
2023-24	1.48	1.61
Average	1.46	1.20

(Table 4 showing Debt to Equity Ratio of SBI and HDFC for the last five years



Graph 4 showing Debt to Equity Ratio of SBI and HDFC for the last five years)

Interpretation of SBI

- **Increasing Leverage**: The increase in the Debt-to-Equity ratio over the years indicates that SBI may have been increasing its debt financing. This could be a strategy to support expansion or to enhance profitability through leveraging, but it also indicates a higher level of financial risk due to increased debt obligations.
- **Moderate Leverage**: A ratio of 1.46 is relatively moderate, meaning SBI uses a mix of debt and equity to fund its operations, but it is not overly reliant on debt.

Interpretation of HDFC

- **Low-to-Moderate Leverage**: HDFC has generally used a lower amount of debt in relation to equity. While it has been increasing its debt use in recent years (especially in 2023-24), its average leverage ratio is still lower than SBI's. This suggests that HDFC may be more cautious in using debt financing compared to SBI.
- **Increase in Leverage**: The increase in the debt ratio in recent years may suggest that HDFC is leveraging more to support growth, particularly as it expanded its activities or took on more capital-intensive projects.

Profitability Ratios

Profitability ratios measure a company's ability to generate income relative to revenue, balance sheet assets, operating costs, and equity. Common profitability financial ratios include the following:

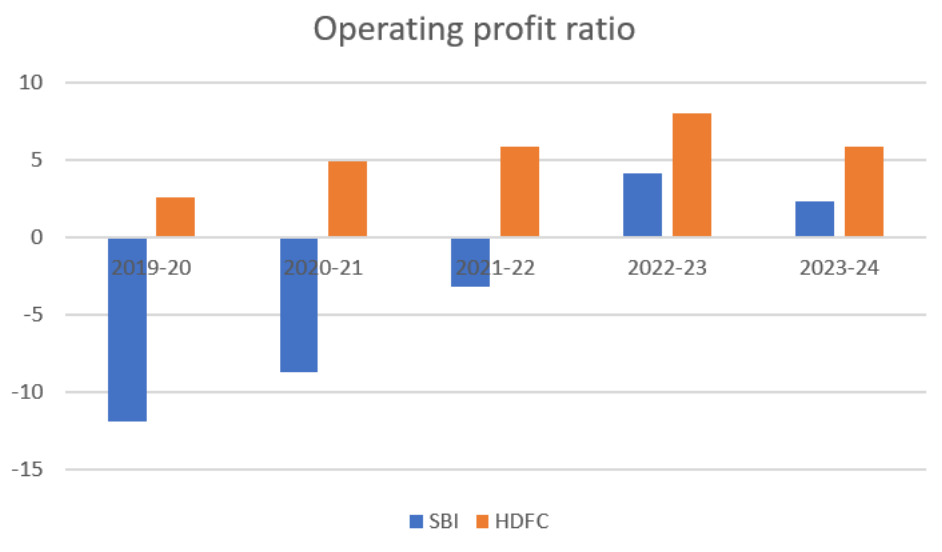
Operating Profit Ratio

Operating profit ratio is a profitability or performance ratio that compares the operating income of a company to its net sales to determine operating efficiency.

Operating Profit Ratio=Operating income/Net sales

YEAR	SBI	HDFC
2019-20	-11.94	2.60
2020-21	-8.70	4.89
2021-22	-3.22	5.83
2022-23	4.10	7.97
2023-24	2.26	5.86
Average	-3.5	5.43

(Table 5 showing Operating Profit Ratio of SBI and HDFC for the last five years)



(Graph 5 showing Operating Profit Ratio of SBI and HDFC for the last five years)

Interpretation of SBI:

- Negative ROE in the first three years: From 2019-2022, SBI had negative ROE values: -11.94% in 2019-20, -8.70% in 2020-21, and -3.22% in 2021-22. This suggests that SBI was losing money during these years relative to its equity. Negative ROE indicates that the bank was not able to generate profits for its shareholders and was likely facing significant challenges.

- Positive turnaround in 2022-23: In 2022-23, there was a positive shift, with SBI achieving a ROE of 4.10%, which indicates a recovery and profitability relative to its equity.
- Moderate positive ROE in 2023-24: The ROE remained positive at 2.26% in 2023-24, but the growth was more moderate compared to 2022-23.

Interpretation of HDFC:

- Consistent Profitability: HDFC's consistent positive ROE throughout the period indicates that it has maintained good operational efficiency and has been able to generate stable profits despite market fluctuations. This suggests that HDFC has been managing its resources effectively and creating value for its shareholders.

- Slight Decline in 2023-24: The decline in ROE in 2023-24 could be due to various factors such as increased expenses, a decline in net income, or market conditions. However, the drop is relatively modest, and HDFC remains in a strong position in terms of profitability.

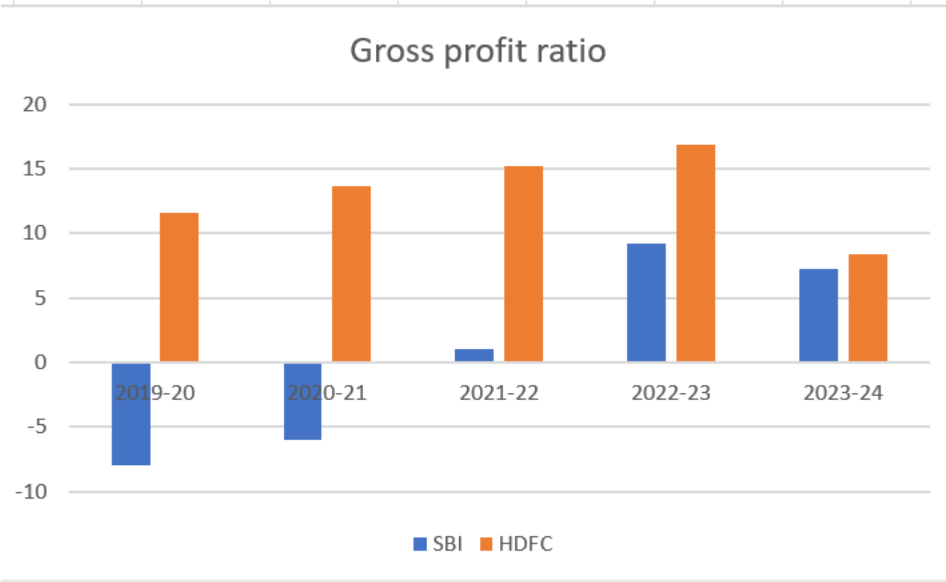
Gross Profit Ratio

The gross profit ratio compares the gross profit of a company to its net sales to show how much profit a company makes after paying its cost of goods sold.

Gross Profit Ratio=Gross profit/Net sales

YEAR	SBI	HDFC
2019-20	-7.93	11.62
2020-21	-6.01	13.61
2021-22	1.03	15.26
2022-23	9.21	16.87
2023-24	7.25	8.38
Average	0.71	13.14

(Table 6 showing Gross Profit Ratio of SBI and HDFC for the last five years)



(Graph 6 showing Gross Profit Ratio of SBI and HDFC for the last three years)

Interpretation of SBI:

- Negative performance in the first two years (2019-2020 and 2020-2021): These two years show negative growth for SBI, indicating poor performance possibly due to macroeconomic factors, market volatility, or specific challenges faced by the bank.
- Positive growth in the subsequent years: The growth starts picking up in 2021-2022, showing a recovery from the previous downturn. The bank has shown positive growth in both 2022-2023 (9.21%) and 2023-2024 (7.25%).
- Average Growth: The average growth for SBI over this period is 0.71%, indicating that the overall performance has been modest, with more significant improvement in recent years.

Interpretation of HDFC:

- Consistent Positive Growth: HDFC has shown strong, consistent positive growth throughout the period from 2019 to 2024. Even in 2023-2024, when growth slowed to 8.38%, it still remains positive.
- Best Performance in 2022-2023: The peak growth of 16.87% was in 2022-2023, which likely indicates strong business performance, effective strategies, or market conditions that benefited the bank.
- Average Growth: The average growth rate for HDFC is 13.14%, which is significantly higher than SBI's performance, indicating more stable and robust performance over the period.

Net Profit Ratio

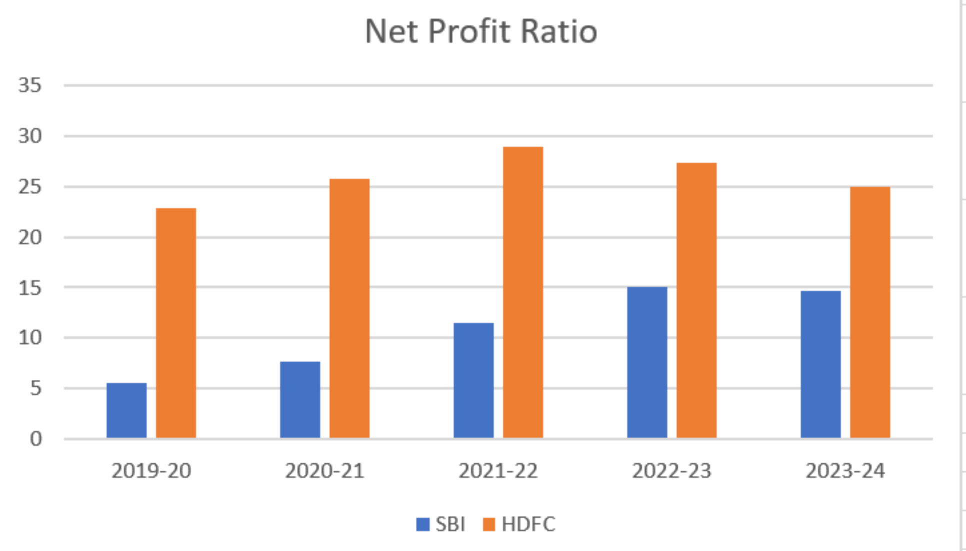
Also known as Net Profit Margin ratio, it establishes a relationship between net profit earned and net revenue generated from operations (net sales). Net profit ratio is a profitability ratio which is expressed as a percentage hence it is multiplied by 100.

NP ratio helps to determine the overall efficiency of the business' operations, furthermore, it is an indicator of how well a company's trading activities are performing.

Net Profit Ratio=(Net profit ÷ Net sales)x 100

YEAR	SBI	HDFC
2019-20	5.63	22.86
2020-21	7.69	25.74
2021-22	11.49	28.93
2022-23	15.12	27.29
2023-24	14.71	24.92
Average	10.92	25.94

(Table 7 showing Net Profit Ratio of SBI and HDFC for the last Five years)



(Graph 7 showing Net Profit Ratio of SBI and HDFC for the last five years)

Interpretation for SBI:

- Steady Positive Growth: SBI has shown consistent positive growth across all five years, starting from 5.63% in 2019-2020 and steadily improving year after year.
- Strongest Performance in 2022-2023: The peak growth of 15.12% was in 2022-2023, showing strong performance in that period, likely driven by favorable market conditions, business strategies, or recovering economic activity.
- Slight Decline in 2023-2024: In 2023-2024, there was a minor dip to 14.71%, but this is still a strong return compared to earlier years.
- Average Growth: The average growth rate of 10.92% over this period is quite healthy, indicating a strong and steady performance for SBI.

Interpretation for HDFC:

- Strong and Consistent Growth: HDFC has displayed exceptionally strong growth throughout this period, with each year showing returns between 22.86% and 28.93%, which is considerably higher than SBI.
- Peak Performance in 2021-2022: The highest growth of 28.93% occurred in 2021-2022, suggesting this was a particularly good year for HDFC, driven by positive factors such as strong market conditions or strategic improvements.
- Slight Decline in Recent Years: In 2022-2023 and 2023-2024, HDFC saw a small decline in growth (from 27.29% to 24.92%). However, these numbers are still robust and reflect strong performance despite some cooling off in the growth rate.
- Average Growth: The average growth rate for HDFC is 25.94%, which is substantially higher than SBI's average, indicating that HDFC has been a significantly better performer in this period.

Liquidity Ratios-

Liquidity ratios are financial ratios that measure a company’s ability to repay both short- and long- term obligations. Common liquidity ratios include the following:

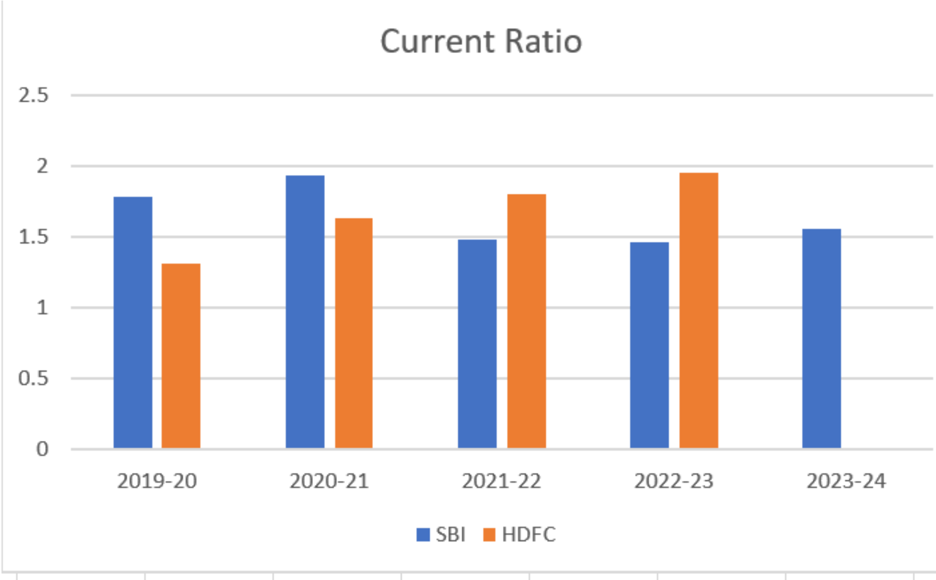
Current Ratio

The current ratio is a liquidity ratio that measures a company’s ability to pay off short-term obligations or those due within one year. This ratio measures the financial strength of the company. Generally, 2:1 is treated as the ideal current ratio.

Current Ratio=Current Assets/Current Liabilities

YEAR	SBI	HDFC
2019-20	1.78	1.31
2020-21	1.93	1.63
2021-22	1.48	1.80
2022-23	1.46	1.95
2023-24	1.56	0
Average	1.64	1.33

(Table 8 showing Current Ratio of SBI and HDFC for the last Five years)



(Graph 8 showing Current Ratios of SBI and HDFC for the last five years)

Interpretation for SBI:

- Modest Fluctuations: The numbers indicate moderate changes over the 5 years, with a slight increase in 2020-2021 followed by a slight decline in 2021-2023. However, the values are relatively stable, staying between 1.46 and 1.93.
- Year-to-Year Trend:
  - 2019-2020: A starting value of 1.78 increases to 1.93 in 2020-2021, indicating some improvement.
  - 2021-2022 and 2022-2023: The values drop slightly to 1.48 and 1.46, respectively. This might indicate some challenges or slowdowns during these years.
  - 2023-2024: A small recovery to 1.56, but not reaching the previous high of 1.93 in 2020-2021.
- Average: The average of 1.64 indicates that, on the whole, SBI's performance has remained stable but not exceptionally high. This suggests that while there have been some fluctuations, the overall trend is relatively flat with modest growth or stability.

Interpretation for HDFC:

- Strong Performance with Sudden Decline in 2023-2024: HDFC showed consistent growth until 2022-2023, where the value reached a peak of 1.95. However, in 2023-2024, the value dramatically dropped to 0, which could suggest a sharp decline or stagnation in performance for this year.
- Year-to-Year Trend:
  - 2019-2020: The value starts at 1.31, gradually improving each year, indicating consistent growth.
  - 2021-2022 to 2022-2023: There is a steady increase, with 2022-2023 reaching the highest value of 1.95, which is a significant improvement from the 2019-2020 value of 1.31.
  - 2023-2024: The sudden drop to 0 is concerning and needs further investigation, as it represents a dramatic fall from the previous values.
- Average: The average value of 1.33 indicates that HDFC's overall performance has been slightly weaker than SBI's over this period. The sharp decline in the final year, however, significantly affects this average.

5.2 MAJOR FINDING

As we see, the debt equity ratio of SBI is higher than HDFC so it should try to restructure its debt and NPAs.

The borrowings should be reduced to the level that it is not more than 4-5 times of equity. It will decrease their NPAs. Also, this will result in better financial health of the companies.

Banks should limit its huge lending to trusted companies or individuals so that recovery becomes comparatively faster and easier which would consequently result in less NPAs.

We can increase the gross profit ratio of SBI by generating more revenue by managing the costs of company efficiently.

Working on the products and services of the bank and making different changes in little time will increase the revenue.

Reducing extra operating expenses and direct overhead expenses will increase the profit margin of the Banks.

GENERAL FINDING

The current ratio of HDFC Bank can be improved by

1. Delaying any capital purchases that would require any cash payments.
2. Looking to see if any term loan scan be re-amortized.
3. Selling any capital assets that are not generating a return to the business (use cash to reduce current debt).

Chapter-6

CONCLUSION

Conclusion

After the above study on the comparative analysis of SBI and HDFC it was discovered that both the banks are managing their ratios to the best of their abilities within the specified parameters. However, when we compare the two banks, it appears that HDFC Bank has an edge over SBI, reason being HDFC Bank have lower NPAs than the SBI.HDFC Bank having average Gross NPAs less than 1.5% while SBI having the GNPAs near about 8.1% as per the annual report of both banks over the last three years.

HDFC Bank has managed their NPA and profitability ratios in a very efficient manner and are playing an important role as a profitable commercial bank, while SBI is controlling its ratios particularly the current assets ratio but is not as competitive in terms of net profit and Non-Performing Assets (NPAs). SBI needs to be more focused on managing the net profits and NPAs part to be a commercially successful bank.

During, the comparative study of SBI v/s HDFC Bank it is found that HDFC Banks has never gone above 2% in net NPAs during the study period while SBI has never gone below 6% during the study period.

This is an eye-opening comparison that demonstrates SBI's need to concentrate on acquiring high- quality assets, otherwise they will be compromising customers' hard-earned money in the future.

In order to study the trends of NPA, t-Test has been used, the results of which have been shown in the relevant tables. The comparative analysis of the profitability of the two banks clearly reveals that there is no significant relation between the NPA ratios of both the Banks.

Chapter -8

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Chapter-9

ANNEXURES

BALANCE SHEET OF SBI BANK

State Bank of India

Previous Years

Standalone Balance Sheet	------------------ in Rs. Cr. ------------------				
	Mar '24	Mar '23	Mar '22	Mar '21	Mar '20
	12 mths	12 mths	12 mths	12 mths	12 mths
Capital and Liabilities:					
Total Share Capital	892.46	892.46	892.46	892.46	892.46
Equity Share Capital	892.46	892.46	892.46	892.46	892.46
Reserves	348,798.43	298,959.73	255,817.73	229,405.38	207,352.30
Net Worth	**349,690.89**	**299,852.19**	**256,710.19**	**230,297.84**	**208,244.76**
Deposits	4,916,076.77	4,423,777.78	4,051,534.12	3,681,277.08	3,241,620.73
Borrowings	597,560.91	493,135.16	426,043.38	417,297.70	314,655.65
Total Debt	**5,513,637.68**	**4,916,912.94**	**4,477,577.50**	**4,098,574.78**	**3,556,276.38**
Other Liabilities & Provisions	288,809.73	272,457.15	229,931.84	181,979.66	163,110.10
Total Liabilities	**6,152,138.30**	**5,489,222.28**	**4,964,219.53**	**4,510,852.28**	**3,927,631.24**
	Mar '24	**Mar '23**	**Mar '22**	**Mar '21**	**Mar '20**
	12 mths	12 mths	12 mths	12 mths	12 mths
Assets					
Cash & Balances with RBI	225,141.70	247,087.58	257,859.21	213,201.54	166,735.78
Balance with Banks, Money at Call	85,660.29	60,812.04	136,693.11	129,837.17	84,361.23
Advances	**3,703,970.85**	**3,199,269.30**	**2,733,966.59**	**2,449,497.79**	**2,325,289.56**
Investments	**1,671,339.66**	**1,570,366.23**	**1,481,445.47**	**1,351,705.21**	**1,046,954.52**
Gross Block	42,126.37	42,100.73	37,467.49	38,067.41	38,023.39
Revaluation Reserves	27,555.65	27,756.26	23,377.87	23,577.35	23,762.67
Net Block	**14,570.72**	**14,344.47**	**14,089.62**	**14,490.06**	**14,260.72**
Capital Work In Progress	490.88	281.07	240.67	351.83	415.89
Other Assets	450,964.19	397,061.58	339,924.86	351,768.68	289,613.55
Total Assets	**6,152,138.29**	**5,489,222.27**	**4,964,219.53**	**4,510,852.28**	**3,927,631.25**
Contingent Liabilities	2,457,116.76	1,891,105.20	2,084,813.56	3,413,899.82	1,270,752.77
Book Value (Rs)	391.83	335.98	287.64	258.05	233.34

BALANCE SHEET OF HDFC BANK

HDFC Bank

Previous Years

Standalone Balance Sheet	------------------- in Rs. Cr. -------------------				
	Mar '24	Mar '23	Mar '22	Mar '21	Mar '20
	12 mths	12 mths	12 mths	12 mths	12 mths
Capital and Liabilities:					
Total Share Capital	759.69	557.97	554.55	551.28	548.33
Equity Share Capital	759.69	557.97	554.55	551.28	548.33
Share Application Money	2,652.72	0.00	0.00	0.00	0.00
Reserves	436,833.40	279,641.03	239,538.38	203,169.55	170,437.70
Net Worth	**440,245.81**	**280,199.00**	**240,092.93**	**203,720.83**	**170,986.03**
Deposits	2,379,786.28	1,883,394.65	1,559,217.44	1,335,060.22	1,147,502.29
Borrowings	662,153.08	206,765.57	184,817.21	135,487.32	144,628.54
Total Debt	**3,041,939.36**	**2,090,160.22**	**1,744,034.65**	**1,470,547.54**	**1,292,130.83**
Other Liabilities & Provisions	135,437.93	95,722.25	84,407.46	72,602.15	67,394.40
Total Liabilities	**3,617,623.10**	**2,466,081.47**	**2,068,535.04**	**1,746,870.52**	**1,530,511.26**
	Mar '24	**Mar '23**	**Mar '22**	**Mar '21**	**Mar '20**
	12 mths	12 mths	12 mths	12 mths	12 mths
Assets					
Cash & Balances with RBI	178,683.22	117,160.77	129,995.64	97,340.74	72,205.12
Balance with Banks, Money at Call	40,464.20	76,604.31	22,331.29	22,129.66	14,413.60
Advances	**2,484,861.52**	**1,600,585.90**	**1,368,820.93**	**1,132,836.63**	**993,702.88**
Investments	**702,414.96**	**517,001.43**	**455,535.69**	**443,728.29**	**391,826.66**
Gross Block	11,398.99	8,016.54	6,083.67	4,909.32	4,431.92
Net Block	**11,398.99**	**8,016.54**	**6,083.67**	**4,909.32**	**4,431.92**
Other Assets	199,800.20	146,712.52	85,767.83	45,925.89	53,931.09
Total Assets	**3,617,623.09**	**2,466,081.47**	**2,068,535.05**	**1,746,870.53**	**1,530,511.27**
Contingent Liabilities	2,362,091.21	1,819,569.86	1,452,410.35	1,015,845.74	1,180,538.31
Book Value (Rs)	576.01	502.18	432.95	369.54	311.83